

Table D.1: Tail capture per classifier. The table reports how much of the carry trade’s worst months each state contains, against how much calendar it occupies. Concentration = capture share $\div$ time share; tail months are the full-sample worst 1%, 5%, and 10% of carry total returns, 1988:01–2026:02; all states lagged one month.

Classifier	Months on	Time share	Tail captured	Concentration	In-state rate
<i>Worst 1% of carry-total months (5 months $\leq -6.03\%/month$)</i>					
Naive count ≥ 2	165	36%	2/5 (40%)	1.11 $\times$	1.2%
Naive count excl. downcurve	113	25%	2/5 (40%)	1.62 $\times$	1.8%
IYC signal	92	20%	5/5 (100%)	4.98 $\times$	5.4%
IYC signal excl. downcurve	57	12%	5/5 (100%)	8.04 $\times$	8.8%
<i>Worst 5% of carry-total months (23 months $\leq -3.75\%/month$)</i>					
Naive count ≥ 2	165	36%	9/23 (39%)	1.09 $\times$	5.5%
Naive count excl. downcurve	113	25%	7/23 (30%)	1.23 $\times$	6.2%
IYC signal	92	20%	8/23 (35%)	1.73 $\times$	8.7%
IYC signal excl. downcurve	57	12%	7/23 (30%)	2.45 $\times$	12.3%
<i>Worst 10% of carry-total months (46 months $\leq -2.32\%/month$)</i>					
Naive count ≥ 2	165	36%	19/46 (41%)	1.15 $\times$	11.5%
Naive count excl. downcurve	113	25%	16/46 (35%)	1.41 $\times$	14.2%
IYC signal	92	20%	15/46 (33%)	1.62 $\times$	16.3%
IYC signal excl. downcurve	57	12%	14/46 (30%)	2.45 $\times$	24.6%